

International Political Economy (SOCS-SHU 222)

THE POLITICS OF MULTINATIONAL CORPORATIONS

Instructor: JING QIAN



The Politics of Multinational Corporations

READING ASSIGNMENT:

Oatley Chapter 9

Regulating MNCs

Accountability

- To whom are MNCs accountable?
 - Stockholders
- To whom are governments “accountable”?
 - Depends on political institutions
 - Democracies depend on votes
 - Dictatorships may depend on the support of a small loyal clique (military, business elites, etc.)

MNCs: Accountable to stockholders

Are MNC effects good or bad?

- They generate **positive externalities**
 - Educate the workforce
 - Managerial experience
 - Access to marketing networks
 - Transfer technology
- Allow countries to draw on the savings around the world (rather than rely just on local savings for investment)
- Sometimes they draw on local savings!
 - “**crowds out**” investment in local firms
- Profits may be repatriated!
- May force the local affiliates to work only with the parent company
 - paying licensing fees
 - purchasing inputs from other subsidiaries of the same corporation
- May drive local firms out of business

Confronting Goals

- What do MNCs want?
 - Maximize economic returns from business operations
 - Maximize shareholders value
- What do host countries want?
 - Extract as many of the benefits from FDI as possible
 - And minimize potential costs.
 - *What benefits? Benefits for whom?

Regulating Multinational Corporations

- All countries regulate MNCs to some extent
- **Developing countries**
 - Governments did block FDI in some sectors – nationalization
 - Local ownership requirement
 - Limits of profits repatriation
 - Performance requirements
- Why? Recall the two developmental strategies of the developing world
 - Import substitution industrialization
 - Develop domestic manufacturing industries
 - Export oriented development
 - Export-oriented manufacturing
- Most developing countries start to liberalize FDI since the 1980s



一汽-大众
FAW-VOLKSWAGEN



PEUGEOT
东风标致



长安福特



一汽 TOYOTA



Brilliance Auto
华晨汽车



Mercedes-Benz
北京奔驰



上汽通用汽车
SAIC-GM

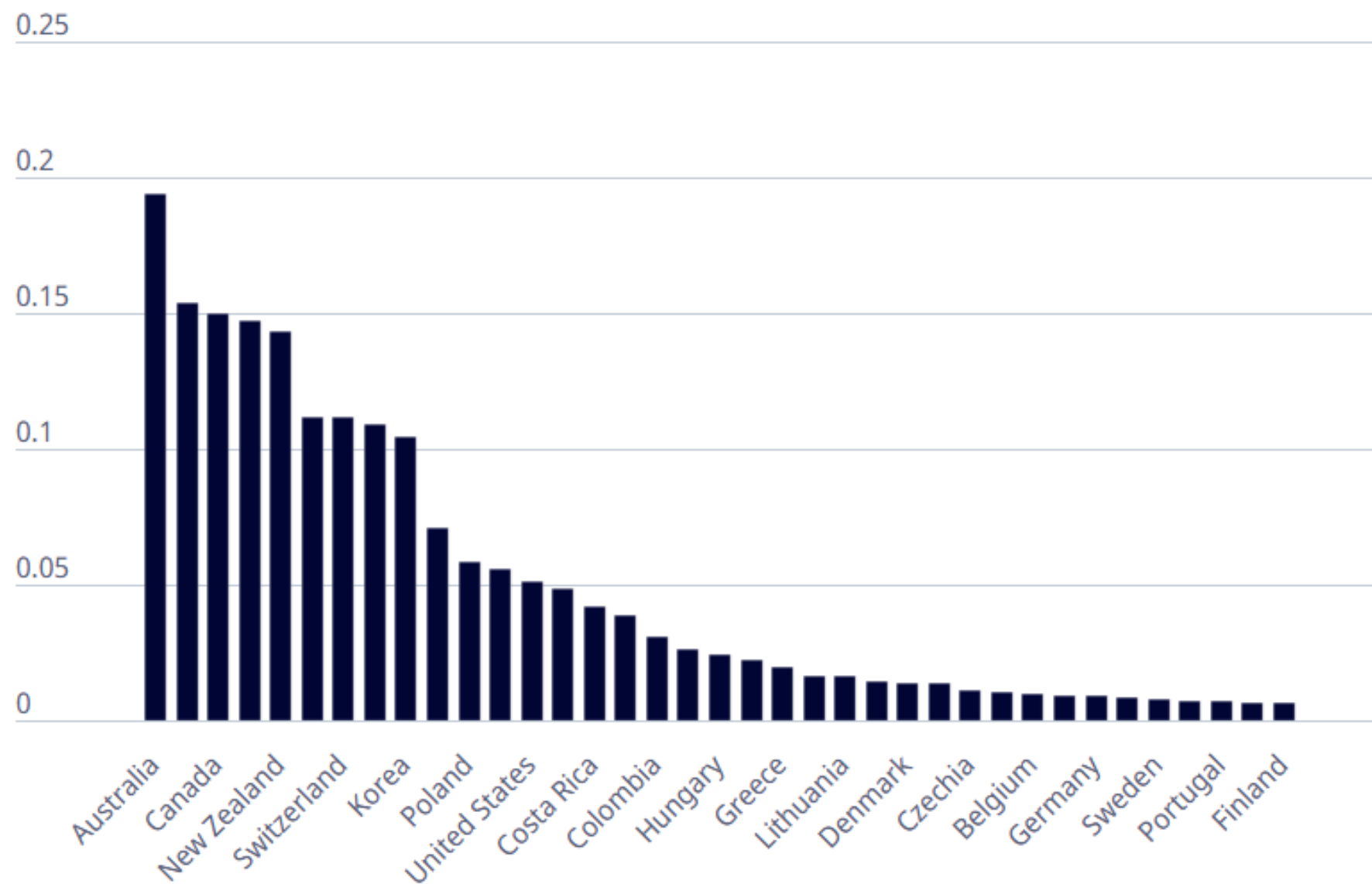


Regulating Multinational Corporations

- All countries regulate MNCs to some extent
- Developed countries
 - In general, more open to FDI
 - Still, block MNCs in certain industries (critical sectors)
 - [OECD FDI Restrictiveness Index](#)
 - [CFIUS](#)

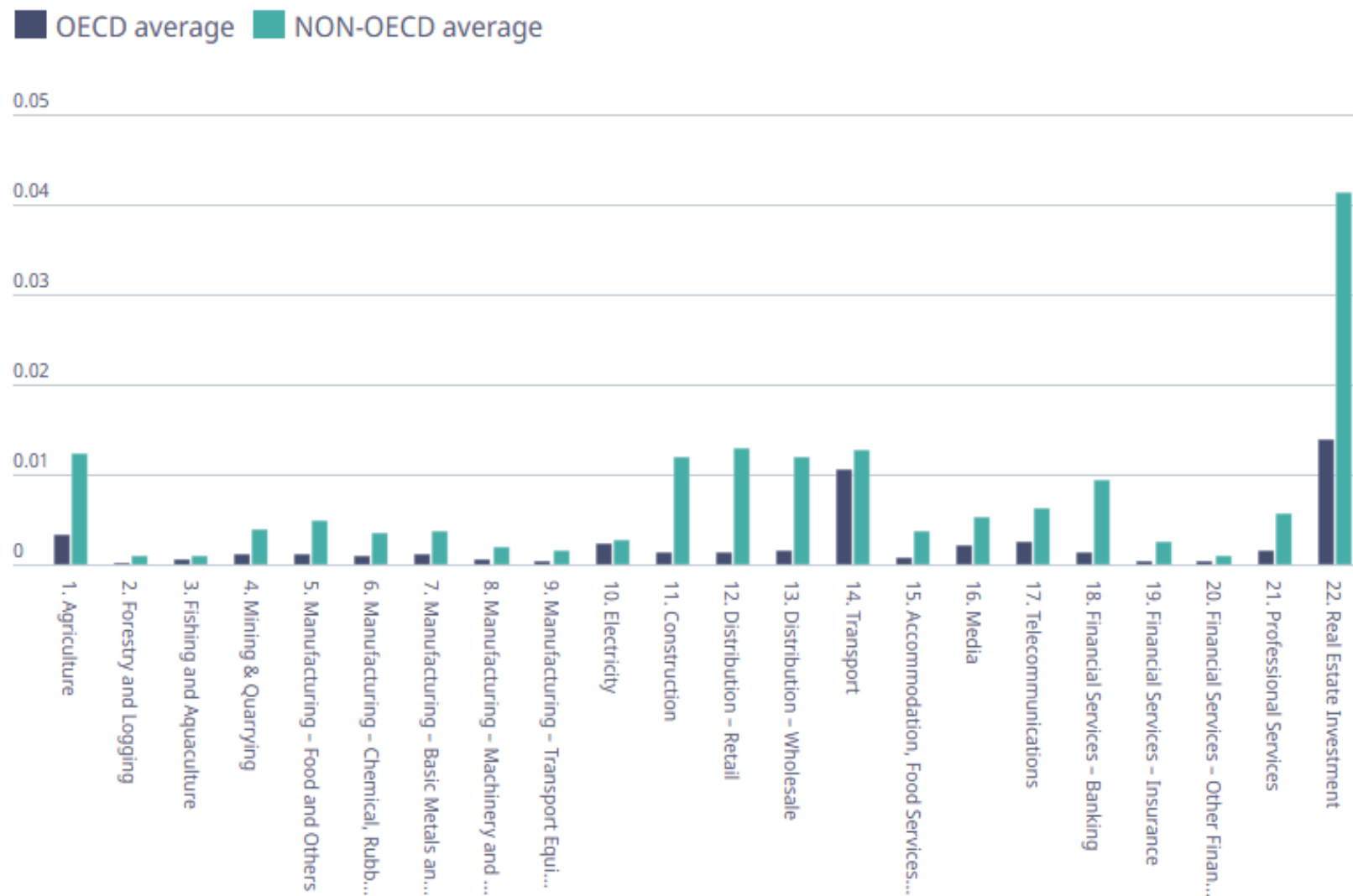
Foreign direct investment regulatory restrictiveness index

Index, 2023



The real estate, transport and agriculture sectors experience the highest restrictions

OECD FDI Regulatory Restrictiveness Index (open=0; closed=1)



The indices reflect regulation in force on 31 December 2023. Reported scores include sector weights to account for differences in the economic importance across sectors (sector weights are measured as the average sector's share in total value added across countries and time).

[OECD FDI Regulatory Restrictiveness Index, 2023](#)



Sectors of selected deals subject to CFIUS intervention, 2017-2022

Sector	Abandoned	Blocked	Measures	Total
Semiconductors	2	1	2	5
Financial services	3		1	4
Medical		1	2	3
Energy	2			2
Industrials	2			2
Software	1		1	2
Agriculture	1			1
Automotive	1			1
Chemicals	1			1
Construction	1			1
Services	1			1
Telecoms			1	1
Transport			1	1

Buyer jurisdictions of selected deals subject to CFIUS intervention, 2017-2022

Bidder jurisdiction	Abandoned	Blocked	Measures	Deals
China	13	1	3	17
Germany	1		1	2
Bermuda			1	1
France			1	1
Hong Kong			1	1
Japan			1	1
Singapore		1		1
Switzerland	1			1

Source: Stock Exchange Filing

The New York Times

China Ramps Up Scrutiny of a Meta A.I. Deal

The country appears to be cracking down on people linked to the acquisition of Manus, a Singapore company with Chinese roots, as President Trump prepares to visit Beijing.

Bargaining with MNCs

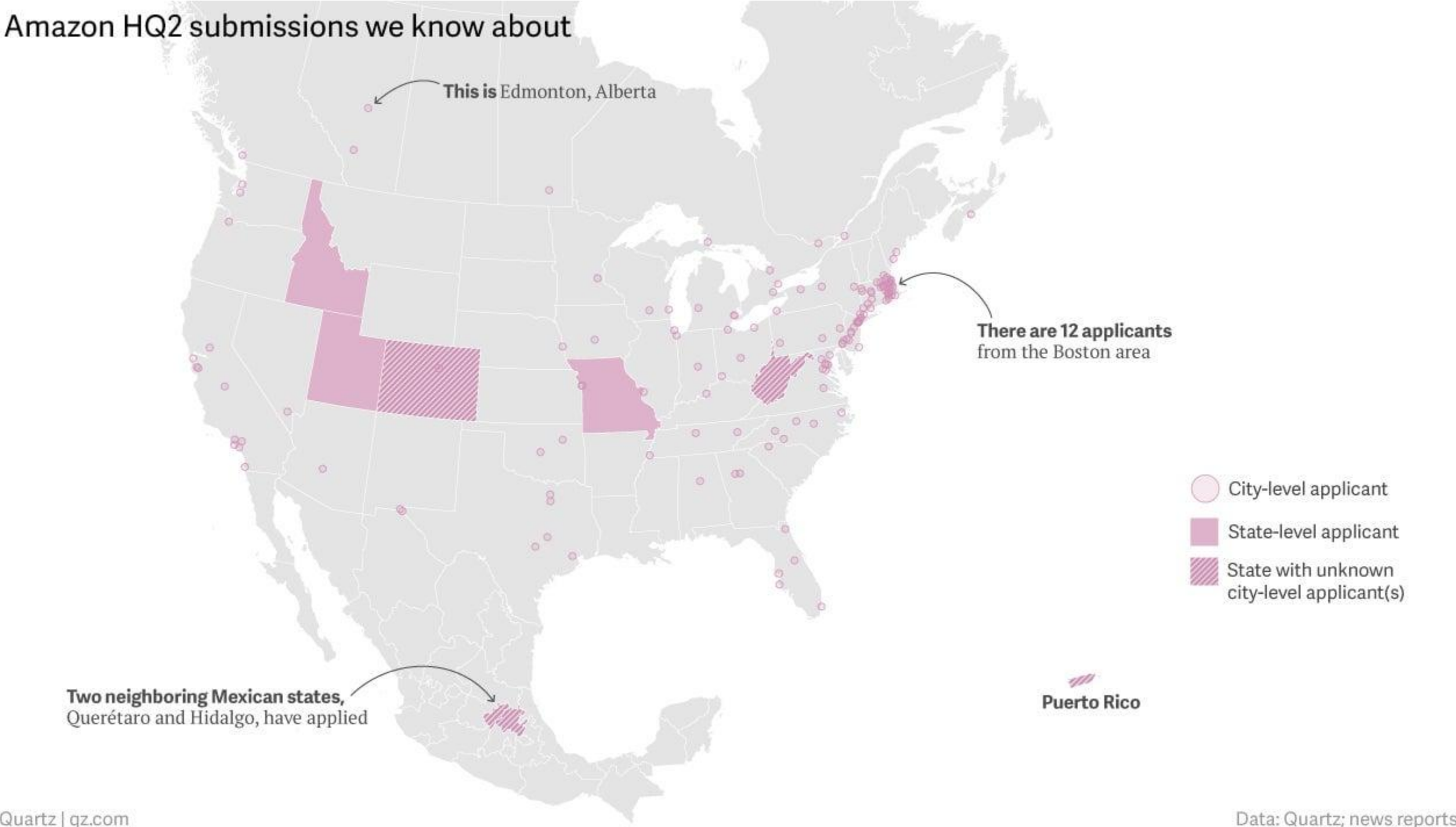
Bargaining Power

- Bargaining power comes from (ch.3)
 - Patience
 - Outside options
- Both MNCs and host countries have something the other side wants
 - MNCs: capital, technology, the investment*
 - Host countries: natural resources, access to domestic market, cheap labor force, etc.

“Race to the Bottom” (RTB)

- How do host countries attract FDI? --- By offering additional benefits
 - Lower taxes
 - Lower regulatory standards (labor, environmental, etc.)
 - Additional incentives
- Expectation: MNCs go wherever standards are the lowest
- Why might this work?
 - Lower MNCs' production costs (and increase shareholders' value)
- Why might NOT this work?
 - On one hand: MNCs benefit from public services
 - So maybe MNCs tolerate some taxation
 - On the other hand: promises are not credible
 - Even if MNCs don't like taxes, they shouldn't trust governments

Amazon HQ2 submissions we know about



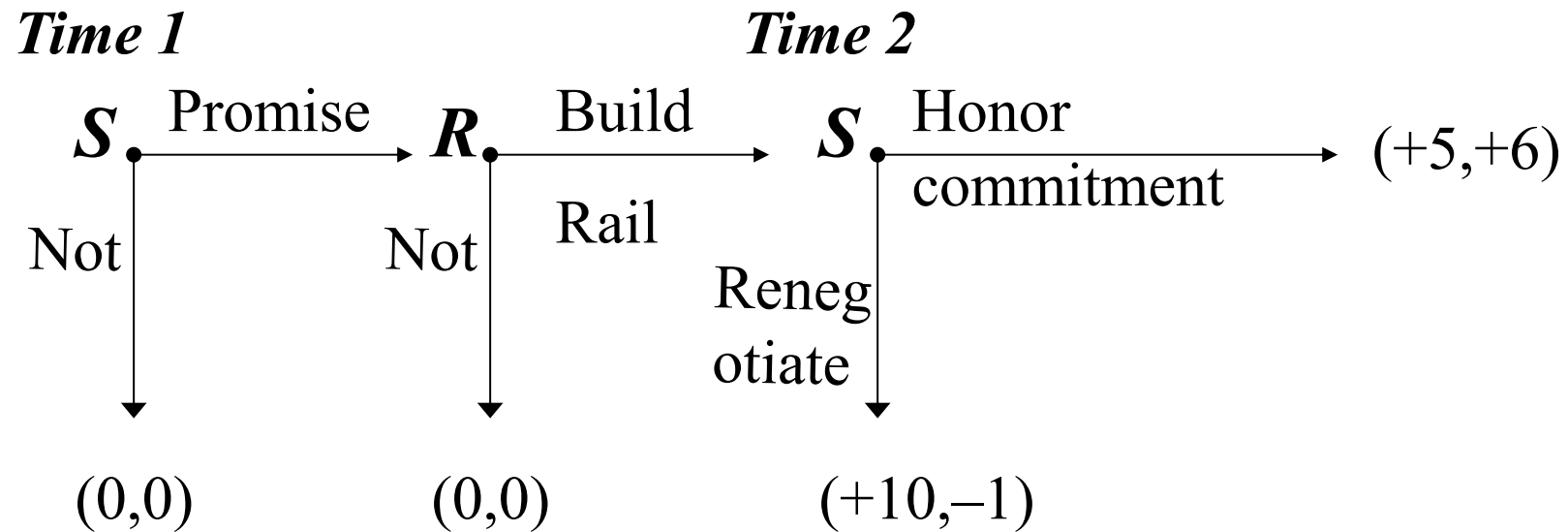


Obsolescing Bargain

- The MNC cannot easily remove its fixed investment from the country, so the investment becomes a hostage
- What analytical tool does this recall?
 - Commitment problem
 - Credible commitment problem
 - Time-inconsistent preference problem
 - Time-consistency problem

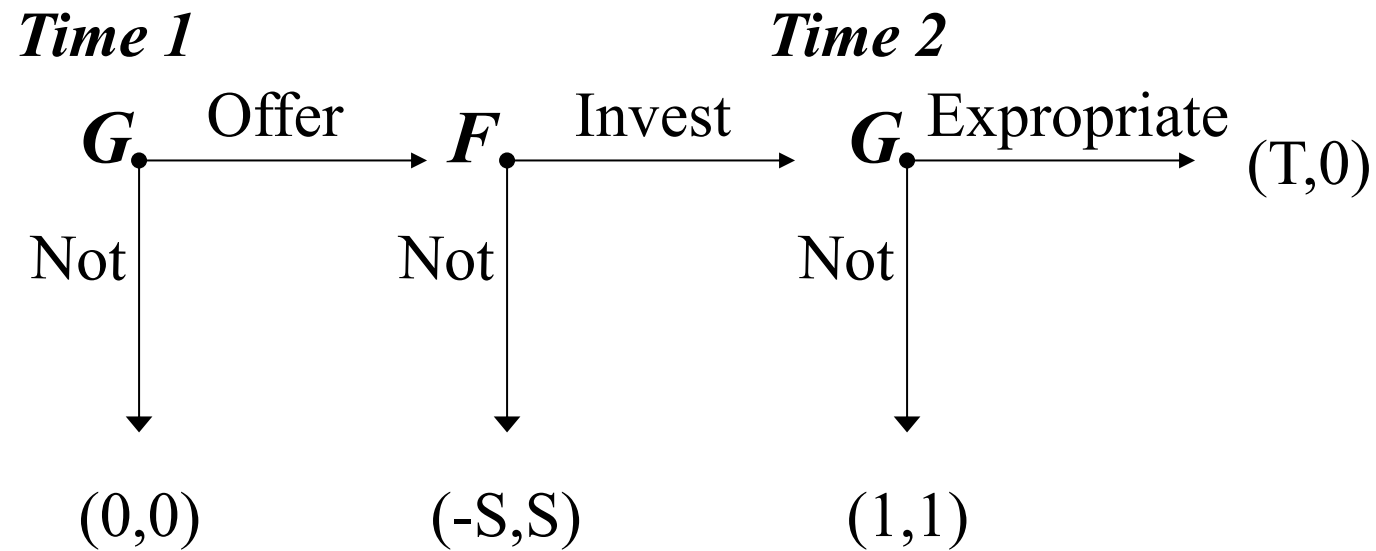
Obsolescing Bargain

Ship owner & Railroad builder



Obsolescing Bargain

Foreign Direct Investment and the Commitment Problem



Suppose that $T > 1 > S > 0$

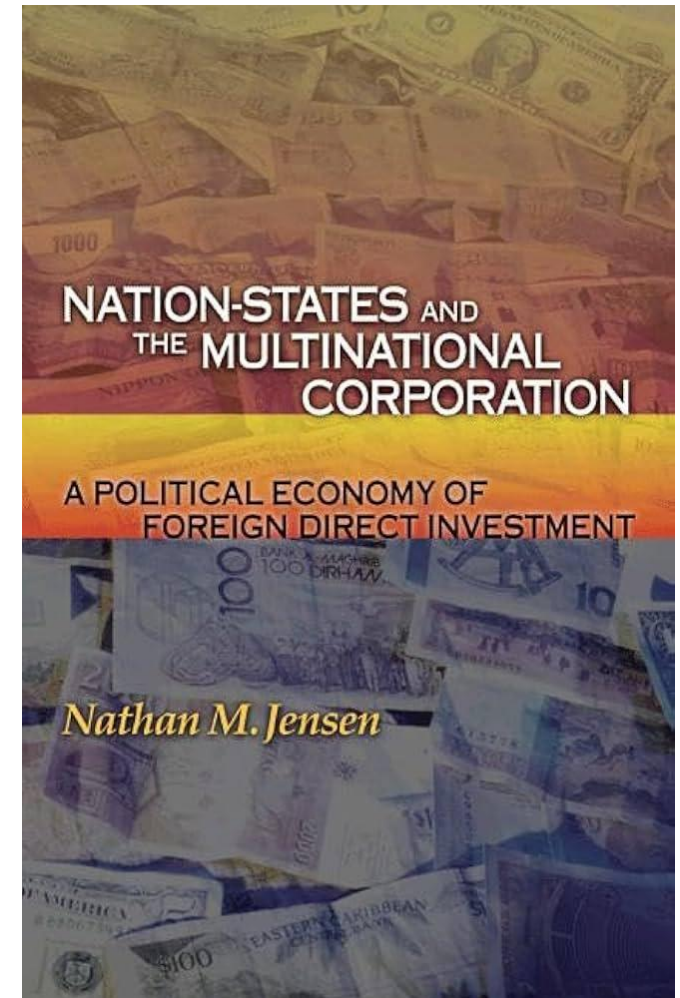
Tying Hands

How do governments tie their hands?

- Domestic: Democracy
- International: Bilateral Investment Treaties (BITs)

How do governments tie their hands?

- Domestic: Democracy
 - “Audience costs”
 - Commitment to market-friendly policies
 - Reputations matter
 - Veto players
 - Higher policy stability
 - Harder to change policy



How do governments tie their hands?

- International: Bilateral Investment Treaties (BITs)
 - Arbitration clauses
 - Allow MNCs to sue host countries in international forums
 - Countries “lock-in” investor-friendly policies through BITs

Thank You!



Take-away

- MNCs are accountable to stockholders (1 dollar 1 vote)
- Governments are accountable to various constituencies depending on the political institutional context
- Regulating MNCs
- Obsolescing bargain - another example of a time-consistency problem
- Race to the bottom thesis
- Audience costs and veto players